

Lady M Confections

Thank you for preparing a memo for Ken Romaniszyn and Daisy Tom at LadyM Confections. They need to decide whether to expand at the World Trade Center, and/or whether to accept \$10M and a line credit in exchange for an equity share AND exclusive franchising rights for the China market.

Business Analysis

First, Focus on the Bizzy Coffee business, leaving finance aside as much as possible.

- 1) Describe the business in which Bizzy Coffee operates. How has LadyM gotten to this point in the case?
- 2) In light of your responses above, what kind of Key Performance Indicators (KPIs) might you recommend from an *operational* perspective.

Financial Analysis

Base Case (Scenario One)

- 1) Build a 5 Year Income Statement Pro Forma using the assumptions provided in the case.
- 2) Using the Working Capital Assumptions, and your Income Statement Pro Forma, Build a 5 year Cash Flow Pro Forma.
- 3) Based on the above, develop a Terminal Value – explain your assumptions
- 4) Based on your CF Pro Forma and Terminal Value, what is the Value of LadyM Confections today – how did you determine your Cost of Capital?
- 5) Show a scenario table of your Valuation with revenue growth rates ranging from 5% - 20%, and Cost of Capital ranging from -10% - + 20% around your base case scenario.

Scenario Two

- 6) Develop your Valuation above based on the WTC option. Be sure and include your CAPEX and expected depreciation changes. Team Marketing – what is the potential cannibalization of existing sales with the WTC offer??

Chinese Investment

- 7) Ken and Daisy have been offered \$10M + a Line of Credit from a Chinese Investor in exchange for an equity share AND exclusive rights to franchising the China Market. Based on LadyM's global performance to date, what do you think is the franchise value of the China Market (in PV terms).

Your Recommendation

Based on your analysis above, please explain whether you recommend expanding to the WTC (or not) and whether or not Ken and Daisy should accept the equity and Line of Credit. If they do accept it, how much of Lady M's equity should they offer.

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.